

Situation 3

The company earns only 10 Cr. It would struggle to pay the interest cost as the earnings of the company are just not adequate.

The higher the EBIT, the higher the chances of the company repaying the debt sooner.

The higher the ratio, the better it is. Any ratio higher than 5 is a sign of the healthy state of the company, which means the company can pay its interest on time, as its earnings are 5 times that of the interest to be paid. However, if the ratio is only 1x or 1.5x, the company might face issues paying interest.

An interest coverage ratio of less than 1 means the company's situation is quite unhealthy. The company would go into losses after repaying the interest costs and over time might have to borrow more to pay interest.



As seen, the interest coverage is relatively high and stays consistently higher than 39 times. This means that the interest costs that the company pays is well covered. We understood this when looking at short term borrowings as well.

We need to keep in mind that we are including both short term debt related interest as well as long term debt related expense.



The interest cost is thus very little as compared to its earnings and, therefore, can easily repay the interest cost. The company thus covers its interest costs very well.